AD-HOC OPINION · JAPANESE TRADING HOUSES

Marubeni: record profits, bigger buybacks and more copper ahead

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Japanese trading houses enter a new phase

Japan's large trading houses (sogo shosha) have spent the past decade turning from commodity traders into diversified investment groups. Commodities still carry a large weight in profits, yet a growing share now comes from food, power, finance, mobility and consumer businesses that earn steadier returns through the cycle.

Capital discipline has become the common thread across the sector. Each of the large houses now runs a plan that links progressive dividends and share buybacks to a return on equity goal. Once investment needs are covered, buybacks have become the main tool to lift that return.

The commodity backdrop is mixed. Crude oil and iron ore prices could soften in 2027 and 2028 as new supply arrives. Copper stands apart: mine supply remains tight and demand from power grids, electrification and data centres keeps rising. Houses with growing copper volumes look best placed in this setting.

Marubeni's first-quarter results show this mix at work. Higher copper and coking coal prices and strong chemicals and gas trading lifted net profit by 21%, and management put the extra cash straight into a larger buyback.

Share prices have cooled since February. Marubeni trades 20% below its February high, even though consensus earnings expectations have risen by 14% since then. Its valuation multiple has come back from about 18 times expected earnings to 13 times.

What this means for investors

We see the trading houses as a way to own Japanese earnings growth with high cash returns attached. Within the group, Marubeni offers one of the clearest combinations of copper growth, a broad non-resource base and rising buybacks. The pull-back since February has made the valuation less demanding than in the spring, and the half-year results on 4 November could act as the next catalyst.

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Marubeni Corporation (8002 JP)

A trading house turning into a platform operator, with copper growth and rising cash returns

Share price	Forward P/E	Dividend yield	Buybacks FY3/27
JPY 5,042	**12.9x**	**2.3%**	**JPY 145bn**
+16% year to date	10-year average 7.6x	JPY 115 per share forecast for FY3/27	About 1.8% of market value

1. What the company does

Marubeni is one of Japan's five large trading houses. It invests in and runs businesses across food and agriculture, energy and power, metals, chemicals, finance and leasing, and infrastructure. Its strategy centres on scalable Strategic Platform Businesses. Examples include Helena, one of the largest agricultural retailers in the United States, Aircastle in aircraft leasing, used-car finance in the United States and SmartestEnergy, a power supplier to large businesses in the United Kingdom. On the resource side, copper in Chile, coking coal in Australia and LNG drive most of the profit.

2. Why it could do well

Earnings keep beating expectations. Net profit reached a record JPY 543.9 billion in the year to March 2026. First-quarter profit for the current year reached JPY 186.4 billion, up 21% and 12% above consensus, helped by copper and coking coal prices and strong chemicals and gas trading. The quarter already covers 32% of the unchanged full-year guidance of JPY 580 billion, which leaves room for an upgrade.

Copper adds volume growth. The second concentrator at Centinela in Chile, where Marubeni holds 30%, could add around 40,000 tonnes a year of attributable copper at full capacity, with first production expected in 2027.

3. What sets it apart

Cash returns are rising quickly. In August, management added a JPY 100 billion buyback to the JPY 45 billion approved in May, and raised the shareholder return target of its GC2027 plan from JPY 700 billion to JPY 900 billion. The plan aims for a 15% return on equity. The investment budget also rose to JPY 1.95 trillion, and net debt to equity stood at a comfortable 0.46x at the end of June.

4. Is the share cheap?

Against its own history, no. The share trades at 12.9 times expected earnings, well above its 10-year average of 7.6 times. Much of the re-rating took place between 2023 and early 2026, as the market began to value the trading houses as steady compounders. Since February the multiple has fallen from 18.5 times, and this year's share price gain of 16% now matches the 17% rise in consensus earnings. The dividend and this year's buybacks add up to a cash return of around 4%. We see the valuation as fair, with further gains depending on earnings growth and buybacks.

5. Main risks

Commodity prices: a sharp fall in copper, coking coal, iron ore or oil prices would weigh on resource profits, which drove much of the recent upside. Currency: a rapid rise of the yen would reduce the value of overseas earnings. Return target: on current guidance, return on equity would reach about 13% this year, so the 15% goal needs higher profits or more buybacks. Investment discipline: a large acquisition at a high price would dilute returns.

6. What to watch next

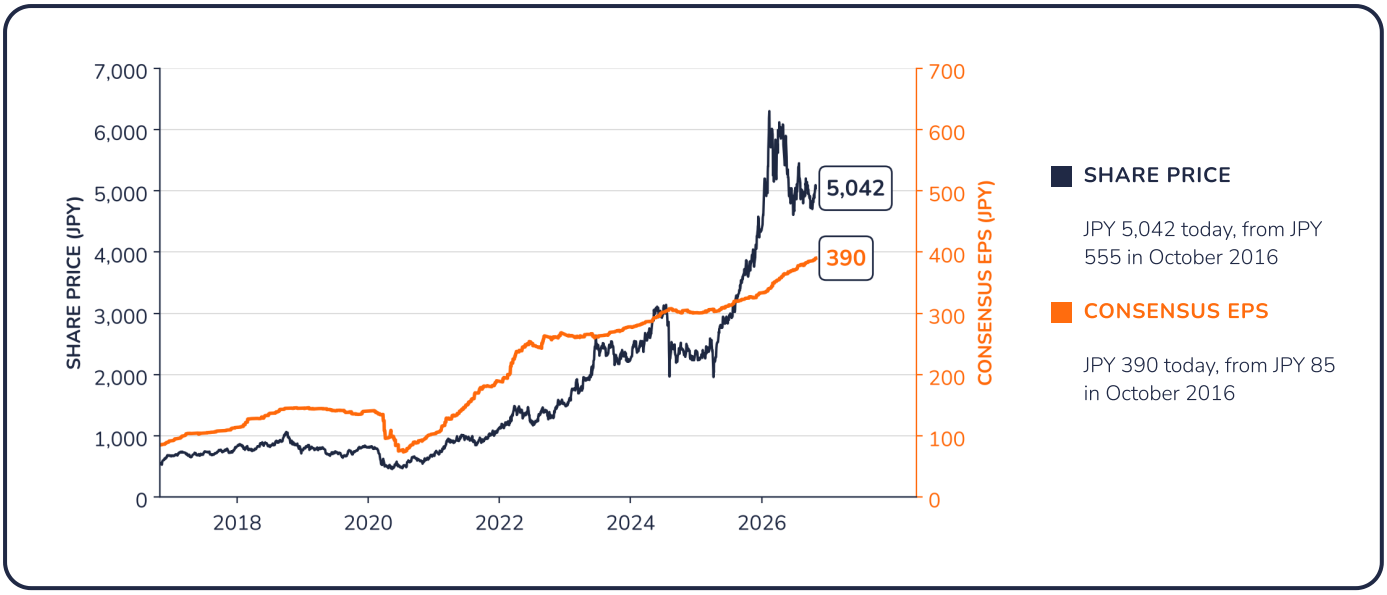
The half-year results on 4 November 2026, with a possible guidance upgrade and progress on the JPY 100 billion buyback. Copper prices and the start-up of the Centinela expansion in 2027. Further steps toward the 15% return on equity goal, including asset sales and additional buybacks. New platform investments, such as the planned stake in South Korean beauty company iFamilySC announced on 23 October.

CONCLUSION

Marubeni combines record earnings, growing copper volumes and one of the most generous capital return programmes among Japanese trading houses. The share is no longer cheap against its own history, yet the pull-back since February has brought price and earnings back in line. We see Marubeni as a sound core holding for an investor seeking exposure to Japan and to copper, with returns driven by earnings growth and buybacks.

Chart 1 · 8002 JP: share price and consensus earnings

Share price (left axis) and 12-month forward consensus earnings per share (right axis), in yen



Source: Syz Research, Bloomberg, Company data

Chart 2 · 8002 JP: valuation against its own history

Price to 12-month forward consensus earnings, with the 10-year average and one standard deviation either side



Source: Syz Research, Bloomberg, Company data

Chart 1 shows how the share price has outrun earnings since 2023, as investors began to pay a higher multiple for the trading houses. Chart 2 shows the size of that re-rating and its partial reversal since February. At 12.9 times, the share trades above the upper band of its 10-year history, a premium that rests on higher returns on equity, larger buybacks and a steadier earnings mix than in the past.

Sources

Syz Research, Bloomberg, Company data

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